



WineMaster.com (A-1):

Confidential Instructions for WineMaster

Overview

You are co-founder, one-third owner, and senior manager of WineMaster.com. Along with your two partners, you will be negotiating a potential sale of your company to HomeBase.com, a Boston-based Internet company that wants to acquire a foothold in the on-line wine market. A senior management team from HomeBase will be arriving at your office shortly.

Background

For the past three years WineMaster has been a successful on-line vendor of mid-range European and Californian wines. Along with two classmates, you started the company immediately after graduating from business school, using your collective savings as start-up capital. You only sell to customers who live in Rhode Island, the smallest state (by size) in the United States. The reason for this focus is that “direct shipment” laws, imposed by a majority of states including Rhode Island, prohibit or limit the shipment of alcoholic beverages from out-of-state producers and retailers to in-state consumers. When you started WineMaster you bought a small bricks-and-mortar liquor store outside Providence to achieve a physical presence in Rhode Island, but you have not established a physical presence in any other state. Your competitors have adopted similar strategies elsewhere, but so far they have stayed out of Rhode Island due to its small size.¹

Recent events suggest that the on-line wine marketplace may be changing dramatically. A coalition of California winemakers challenged Arizona’s direct shipment law in federal court, arguing that the restrictions unduly burden interstate commerce in violation of the U.S.

¹ Geerlings & Wade, for example, sells wine on-line to customers in the 15 states where it has retail stores, as well as to customers in 12 additional states which have reciprocity agreements. On-line vendors who go further may be doing so illegally. See http://www.wineinstitute.org/shipwine/faq/faq.htm#how_come_my_competition. (“Your competition is shipping direct, and possibly doing so illegally in many cases, because there has been little incentive to comply with the law.”).

Lecturer Guhan Subramanian prepared this exercise as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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Constitution.² In a 6-3 decision, the U.S. Supreme Court ruled in favor of the winegrowers and struck down the Arizona direct shipment law. In response to this ruling, direct shipment laws are gradually coming off the books in other states as well.

The elimination of direct shipment laws represents both an opportunity and a threat for WineMaster. On the positive side, WineMaster can now go after customers outside of Rhode Island – in theory at least, the on-line wine market is now a national one. On the negative side, of course, your competitors can now go after your customers in Rhode Island. You believe that WineMaster needs a substantial capital infusion in order to succeed in this rapidly deregulating marketplace. Your partners agree. At the last board meeting you voted unanimously to sell WineMaster rather than trying to go it alone. Presumably the buyer would have better access to capital and could make WineMaster a real player in the new on-line wine marketplace.

Since making that decision two weeks ago, you and your partners have talked to several potential buyers, three of whom seem the most promising. Buyer A has proposed the most attractive deal – you value their offer at \$9.3 million -- but their negotiating team has yet to get board approval. Unfortunately, inside sources have put the likelihood of that approval at only 25%, for strategic reasons that have nothing to do with price. Buyer B has made you a take-it-or-leave-it offer that you value substantially less, at \$6.0 million, but this is a definite offer that you can accept at any time. Like Buyer A, Buyer C's offer is also not yet finalized, but you think that there is a 50% chance that they will come back with a deal worth \$7.0 million to you (and a 50% chance of no offer). Fortunately, you are confident that none of these offers will be “exploding offers,” which means that you can allow each one to play out fully before having to decide on a course of action.

The HomeBase Negotiation

Last week, a B-school acquaintance of yours introduced you and your partners to members of the business development team at HomeBase.com. HomeBase is a well-established Boston-based Internet company that delivers a wide array of food items directly to customers' homes. In view of the Supreme Court's ruling, HomeBase plans to offer a selection of medium-priced wines to complement its food offering. The HomeBase team indicated that they might be interested in acquiring WineMaster to jump-start this product expansion strategy. Your B-school classmate has served as a helpful resource in vetting HomeBase's business, as well as building confidence with their team that WineMaster is not another Internet fly-by-night operation.

As a result, negotiations have proceeded quickly. The HomeBase team seems impressed by your wine expertise, your contacts with suppliers, and your knowledge of wine storage and distribution techniques. In fact, if you sell to HomeBase they want you and your partners to join the company to run the Beverages business unit. They have offered all three of you attractive (and equal) compensation packages to join their company.

Your next (and hopefully final) negotiating session is scheduled for later on today. At that meeting you are hoping to reach closure on the four remaining issues:

- 1) How much stock: Because HomeBase is only interested in a stock-for-stock deal, the first issue is how many shares of HomeBase stock you and your partners will receive for WineMaster. You know from public filings that HomeBase is traded on the Nasdaq exchange, has 4.5 million shares

² The 21st Amendment to the U.S. Constitution, ratified in 1933, ended nationwide Prohibition and granted to the states broad powers to regulate alcohol. However, the so-called “dormant” Commerce Clause of the Constitution prohibits states from impeding interstate commerce. The interplay between these two clauses is an open issue in U.S. constitutional law.

outstanding, and has an additional 0.5 million “authorized but unissued” shares that it could use to consummate this transaction without having to go to its shareholders for approval. A more difficult question is the inherent value of the shares. **Exhibit 1** graphs the historical performance of HomeBase, which shows that the stock has meandered around \$50 per share for the past few months. On one hand, you’re concerned because HomeBase has underperformed the Nasdaq during this period. On the other hand, you believe that HomeBase has a compelling business proposition and could be hitting its stride within the next year. On balance you believe that \$50 per share seems about right for HomeBase going into the foreseeable future.

What’s even less clear is the value of WineMaster. Cash flow analysis is out of the question since any projections beyond six months are speculative to the point of being meaningless. From the many investment bankers who have “pitched” to your management team over the past two weeks, you know that typical benchmarks to use in assessing comparable transactions are market-value-to-revenues and market-value-to-buying-customers. The benchmark numbers for some recent comparable transactions are given in **Exhibit 2**. These transactions are all-stock deals, though you’re not sure how the shares were vested in each deal (see #2 below).

- 2) Vesting period: Another important issue is the vesting period for the HomeBase stock that you receive.³ HomeBase believes that it will take roughly two years to get the on-line wine project successfully underway. In order to give you and your partners the financial incentive to stay at HomeBase during this critical period, their team would like to make your HomeBase stock vest over one or two years. Personally, you would like your stock to vest as quickly as possible in order to preserve your flexibility to go elsewhere. During the vesting period HomeBase could only fire you “for cause,” using a good faith standard, and in that (highly unlikely) scenario you would not receive your unvested shares. Of course, if you left HomeBase voluntarily you would not receive your unvested shares. Acquisition of HomeBase by another company would accelerate all vesting to the date of the acquisition.

Preliminary negotiations have identified three (and only three) possibilities for vesting: all shares vested immediately; pro rata “cliff” vesting (i.e., 1/3 immediately, 1/3 at the end of the first year, and 1/3 at the end of the second year); and all shares vested at the end of the second year. After careful reflection and analysis with your partners, you’ve calculated that shares that vest pro rata are worth 88% as much as shares that vest immediately, and shares that vest at the end of the second year are worth 76% as much as shares that vest immediately. Note that these calculations include the opportunity cost of joining HomeBase, the probability that you will leave early (either willingly or unwillingly) and not receive your unvested shares, and the likelihood of a HomeBase acquisition.

- 3) Board seat: The third issue to resolve is whether you and your partners will get a seat on the HomeBase board. If you do get a seat, you’ve already decided that you will choose randomly from the three of you as to who takes it – a second or third seat has no additional benefit. Your research, again from public filings, shows that the board currently has seven members, four of whom are “insiders.” You believe that a seat on the HomeBase board would be a good way for you to monitor your investment in the company on an ongoing basis. The board seat is worth more to you if you have unvested shares, because when your stock has fully vested you can simply sell your shares if you are dissatisfied with HomeBase management. More specifically, you and your partners have calculated that a seat is worth an additional \$50,000 to your team if

³ Stock “vests” when the recipient receives title to the shares. “Time vesting shares” vest solely on the basis of the employee’s continued employment. “Performance vesting shares” vest based upon the company’s performance during the employee’s continued employment. In this exercise the sole negotiation issue is the number of time vesting shares, i.e., performance vesting is not a possibility.

your shares vest immediately, \$250,000 if your shares vest pro rata, and \$750,000 if your shares vest all in the second year.

- 4) Lawsuit: Finally, you must resolve the ownership of a lawsuit currently pending against WineMaster. A Newport customer got seriously ill from drinking wine that she bought through your company, and has brought suit against WineMaster alleging that the wine was contaminated while in your possession. She seeks to recover her medical expenses as well as pain and suffering damages, totaling \$1.0 million. Unfortunately, attempts at settlement proved to be in vain. The case was recently tried in a local court and you are now awaiting judgment.

In preparing for your negotiation with HomeBase, your lawyer informed you and your partners that you must disclose all liabilities and potential liabilities that are “material.” You estimate the likelihood of losing the lawsuit at 15%, or \$150,000 in expected cost to WineMaster.⁴ Although \$150,000 is small relative to the overall valuation of your company, you’ve decided as a group that it’s legally safer and ethically important to inform HomeBase of the potential liability. You e-mailed the HomeBase team yesterday afternoon but haven’t heard back. Ideally HomeBase will agree to take on the potential liability – that is what potential Buyers A, B, and C have already agreed to if any of them buy WineMaster. In theory, though, you could separate out the liability and leave it with you and your partners personally (in equal shares).⁵ More creative structuring is also possible, e.g., sharing the liability between yourselves and HomeBase. If HomeBase insists that the liability stay with you and your partners, it will reduce the present value of any deal by its expected value (for example, \$150,000 in the case where you have full ownership of the lawsuit).⁶

Your Assignment

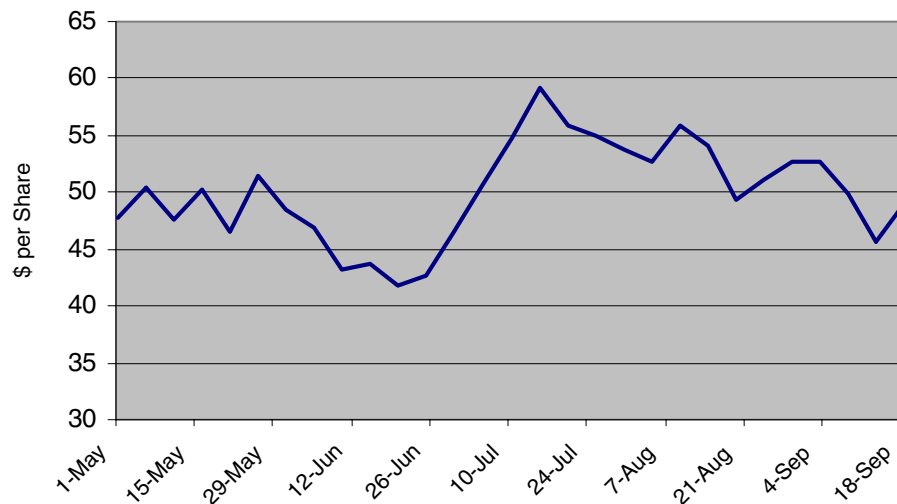
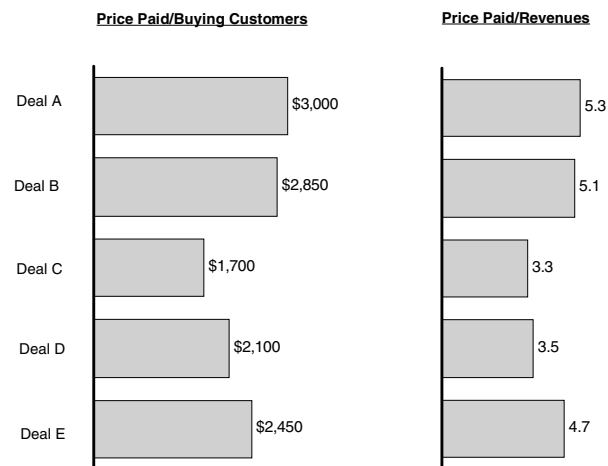
Because you and your partners have shares in your business that are the same in all respects, your goal is to get the best collective deal, with the understanding that you will all share equally in it. (The one exception is the directors’ fees in the event that one of you joins the HomeBase board, but these fees are very small relative to the total value of the deal.) You get the sense that HomeBase wants to close the deal soon. In fact, if you fail to close the deal in your negotiation today, you think there is a good chance that they will look elsewhere and possibly lose interest.

You look forward to getting back to the bargaining table with HomeBase, but you’re also apprehensive about the high stakes of this deal. With your partners, carefully craft your negotiation strategy and a plan for implementing it. Use your best judgment in structuring an agreement, but act in accordance with the facts and instructions that you have been given here.

⁴ For amounts of this magnitude, WineMaster calculates expected values as a risk-neutral actor.

⁵ You may assume that cash constraints do not prohibit this option.

⁶ Of course, if HomeBase takes ownership of the lawsuit, you will still “own” a fraction of it in proportion to your ownership of HomeBase stock. However, because HomeBase has 4.5 million shares already outstanding, your stake in HomeBase will be small enough to make this indirect cost of ownership through HomeBase negligible. For simplicity you should ignore this indirect cost, i.e., any deal that gives the lawsuit entirely to HomeBase means that the expected cost of the lawsuit to you is zero.

Exhibit 1: HomeBase Historical Share Price -- May through September**Exhibit 2: Multiples in Comparable Transactions (post-deregulation)**

Note: WineMaster has approximately 4000 buying customers and \$2.1 million in revenues over the past twelve months.

DEAL VALUE CALCULATION WORKSHEET

Calculation		Value of Your Deal
Number of Shares	x \$50 per share	= _____
x Vesting Discount	☐ Immediately (1.00) ☐ Pro rata (0.88) ☐ At end of second year (0.76)	x _____
= Present Value of Shares		= _____
+ Value of Board Seat	☐ Seat w/immediate vesting (\$50,000) ☐ Seat w/pro rata vesting (\$250,000) ☐ Seat w/second-year vesting (\$750,000) ☐ No board seat (\$0)	+ _____
- Cost of Liability	☐ Liability remains with you and your partners (\$150,000) ☐ Liability goes to HomeBase (\$0) ☐ Other (calculate expected value to you)	- _____
= TOTAL DEAL VALUE		= _____